

Standard Chartered Plc (HK) (2888)

Legal settlement caps upside on buyback, though investment thesis is intact

STAN declined 2.0% on 8 December, underperforming the HSI by 0.8ppts. This is likely attributable to media [reports](#) regarding a legal settlement related to the Iranian sanctions lawsuit in London. While STAN did not disclose the actual settlement amount, the company stated in a press release ([link](#)) that the settlement is not material to the group's operating results or financial position. We expect this to be recognized as an exceptional item in 4Q25. Although there is no impact on DPS or normalized ROTE, the settlement could lower the CET1 ratio and potentially cap upside for share buybacks (SBB) in 2026. We believe a negative impact on the CET 1 ratio would be smaller than c13bps. This incident reminds investors of the operational and compliance risks faced by international banks with expansive networks, enticing negative knee-jerk reactions, in our view. Nonetheless, this event does not change our investment thesis, and we reiterate our OW rating on STAN.

- **What's new?** Bloomberg [reported](#) on 5 December that Standard Chartered had settled an investor lawsuit worth £1.5bn (US\$2bn) in the UK over allegations that it had breached Iranian sanctions. STAN did not disclose the specific settlement cost related to the UK suit, but stated in a press release ([link](#)) that the settlement is not material to the group's operating results or financial position.
- **Was this a surprise?** This development is not in our base case. A US lawmaker called on 15 August for an investigation into an ongoing sanctions evasion case involving STAN in the US to prevent the case's expiration (see our note [here](#)); the subsequent litigation [outcome](#) was favorable to STAN. The settlement reported on 5 December pertains to investors in the UK and is unrelated to the US case referenced in our earlier note.
- **Implications for STAN.** We expect the settlement cost to be recorded as an exceptional item in 4Q25, but there could be implications for capital and thus potentially capped upside for share buybacks. The total claim amount reported by Bloomberg (£1.5bn) is US\$2bn, which does not necessarily equate to the settlement amount. We believe the actual drag on capital could be meaningfully smaller than the reported claim amount, as the group cited an immaterial impact, and the group's threshold for materiality is \$340mn, which is equivalent to c13bps of 4Q25 RWA. Our forecast is for a CET1 ratio of 14.0% in 4Q25, with US\$2.5bn of SBB in 2026, delivering a total return of 7.2%, the highest among Greater China banks.

Overweight

2888.HK, 2888 HK

Price: HK\$168.50

08 Dec 2025

Price Target: HK\$190.00

PT End Date: 31 Dec 2026

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Investment Thesis

We see StanChart as undervalued relative to its sector/EM peers at a 1.1x PTNAV, with significant earnings growth potential supported by structural growth drivers and relatively high capital returns. We expect a ~7% revenue CAGR over 2023-26, driven by non-NII led by Wealth and Financial Markets, with the group's previous investments producing revenue momentum. NII is likely to be under pressure in 2025-26 owing to lower rates, although this could be partly offset by volume growth, increased structural hedging and assertively managed deposit pass-through. We estimate a ~4% cost CAGR, with the group's restructuring program likely to drive material cost saves by FY26, supporting a PPOP CAGR of 12% and RoTE reaching 13.8%/13.5% in FY25E/26E. Capital remains strong; we forecast distributions of ~\$10.9bn compared to group targets of >\$8bn in 2024-26 and expect a further \$1.5bn of share buybacks to be announced with FY25 results. CRE remains a risk, although we see the group as better positioned than peers and proactively managing higher-risk exposures lower. Maintain OW.

Valuation

Our Dec-26 PT of HK\$190 is derived from our DDM analysis, with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.0x. Our key assumptions are a normalized ROE of 9.1% and a cost of capital of 8.9%.

Risks to Rating and Price Target

Key downside risks include:

- **Macroeconomic risks:** As an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM, such as slowdowns, inflationary pressures, the depreciation of EM currencies and cross-border and political risks. Potential weakness in China macro and regional sovereign continue to be risks to revenue and impairments in the near term, as are geopolitical tensions, creating a potential headwind.
- **Provisioning outlook:** We expect provisions to grow to above normalized levels by 2025, given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regard to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to the changes in the regulatory environment in the UK, with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

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Standard Chartered Plc (HK) (2888) (2888.HK, 2888 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

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